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Dongshan Precision (002384.SZ)

Investor Call Takeaways | No Customer Requests on BOM Chatter, Low Laser BOM Share and U.S. Footprint Offer Flexibility

CITI'S TAKE

We dialed into DSBJ's investor call today. Key takeaways: (1) [A potential 65% U.S.-content threshold for optical transceivers remains unconfirmed](#), and management says U.S. customers have not requested any changes. (2) Even if introduced, the threshold may be easier for DSBJ to meet: management estimates that its in-house laser chips account for just 1%–2% of its optical-transceiver BOM on an internal cost basis, leaving the rest of the BOM more room to meet the requirement than at peers that source optical chips externally. (3) DSBJ could also move PCBA assembly to its existing U.S. facility if country-of-origin rules apply. Overall, we see limited near-term earnings impact from the potential restrictions. Tight laser supply could support transceiver share gains, while Taiwan-based laser production and its U.S. footprint provide flexibility to meet future potential localization requirements.

A potential 65% U.S.-content threshold for optical transceivers remains unconfirmed, and customers have yet to raise it with DSBJ. There is some market chatter that the FCC may require 65% U.S. content in the BOM for optical transceivers but this is unconfirmed, with no official document or reliable source to support it. In recent discussions with U.S. customers, DSBJ noted it has received no requests related to the potential restrictions.

DSBJ's in-house laser chips should make a potential U.S.-content threshold easier to meet, while Taiwan production and external supply relationships offer additional flexibility. (1) Management noted DSBJ makes its own laser chips, which account for only 1%–2% of an optical transceiver's BOM on an internal cost basis. The remaining components give it more room to meet a potential 65% U.S.-content threshold, putting it in a better position than peers that source optical chips externally. (2) DSBJ's in-house laser chips are made in Taiwan, which may be viewed as a "friend-shoring destination" for U.S. supply chains and could be exempt from the restrictions. (3) DSBJ also works with Lumentum and Coherent, two leading global laser suppliers, and does not expect difficulty sourcing their chips.

Potential U.S.-content rules would leave DSBJ on a similar footing to peers, while its U.S. facility offers a path to meet any country-of-origin requirement.

Management estimates that U.S.-made chips could supply only around 20%–30% of global optical-module demand. More than 90% of global transceiver capacity is in Southeast Asia, where leading suppliers also have most of their capacity and planned expansions. If the policy takes effect, management believes the industry

Buy

Price (08 Oct 26 11:30)	Rmb150.660
Target price	Rmb282.000
Expected share price return	87.2%
Expected dividend yield	0.0%
Expected total return	87.2%
Market Cap	Rmb275,950M US\$41,159M

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would start from a similar position, with no specific disadvantage for DSBJ. If the policy requires U.S. country-of-origin status, DSBJ could move the PCBA process to its existing U.S. facility to meet the requirement.

Other updates. (1) **Core component orders for 2027 are largely secured.** Overseas CSP customers are working directly with key suppliers to secure critical components such as DSPs. As a leading supplier, DSBJ does not expect shortages to materially affect it, although smaller suppliers may have difficulty securing components. (2) **EML chip sales should be limited, with CW lasers expected to dominate longer-term external sales.** DSBJ expects some external EML chip sales in 2027, but they should account for a small share of total revenue. As NPO and CPO adoption grows, external chip sales are expected to be mainly CW lasers. (3) **3.2T roadmap.** The DSP for 3.2T optical modules has yet to take shape, and the technology path—NPO, CPO or pluggable—remains undecided. The direction may become clearer after 2027–28, with deployment expected in 2029–30.

Dongshan Precision

Valuation

We use SOTP methodology to derive our TP of Rmb282. We apply (1) 15x 26E P/E to DSBJ's original biz (past 5-year average); (2) 15x 27E P/E to the optical transceiver biz, in-line with the optical transceiver names average fwd P/E; (3) 50x 27E P/E to the optical chip biz, in-line with the optical chip names' average fwd P/E; (4) 20x to the 27E AI-PCB biz, in-line with PCB names' average fwd P/E.

Risks

Key downside risks that could impede the stock from reaching our TP include: (1) slower-than-expected progress in modules FPC and share gain from overseas peers; (2) slower-than-expected Tesla business growth due to fierce competition in the China NEV market; (3) continued optoelectronic business loss due to weak demand and intensified competition; (4) increasing materials costs; and (5) US-China geopolitical risk.

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Fundamental Research

Analyst: Karen Huang



Date	Rating	Target Price	Closing Price
1 29-Nov-24 14:04:53	*1	*37.00	25.64
2 16-Sep-25 11:45:47	1	*99.00	79.71
3 26-Oct-25 22:42:41	1	*95.00	69.15

Date	Rating	Target Price	Closing Price
4 15-Mar-26 21:31:51	1	*148.00	110.93
5 21-Apr-26 21:40:41	1	*205.00	169.40
6 28-Apr-26 05:56:26	1	*225.00	183.90

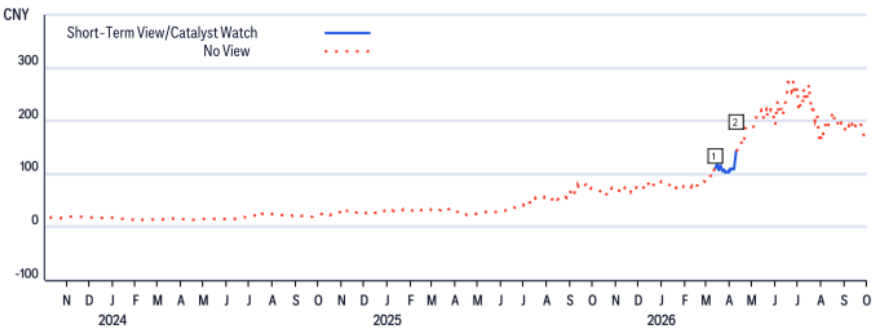
Date	Rating	Target Price	Closing Price
7 24-Jun-26 06:10:55	1	*350.00	257.13
8 24-Aug-26 08:18:48	1	*282.00	193.60

*Indicates Change

Rating/target price changes above reflect Eastern Time

Dongshan Precision (002384.SZ)
Short-Term View/Catalyst Watch Research

Analyst: Karen Huang



Date	Action	Expected Direction	Duration	Closing Price
1 15-Mar-26 17:31:51	Add CW	Upside	30 Days	110.93

Date	Action	Expected Direction	Duration	Closing Price
2 12-Apr-26 23:02:07	Remove CW	Upside	30 Days	143.55

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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